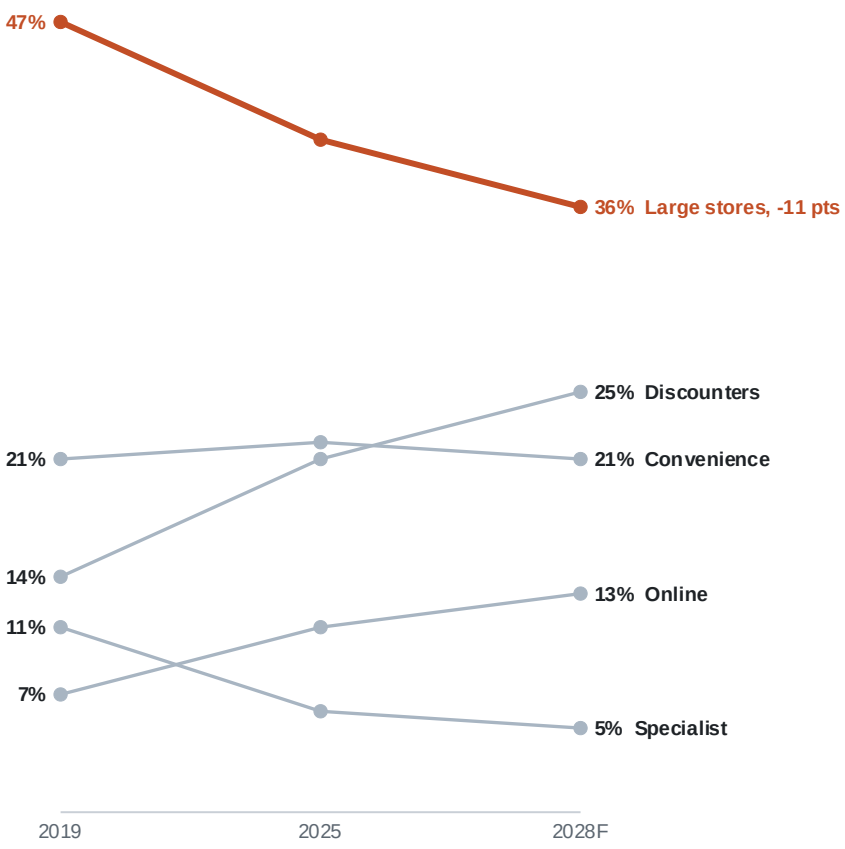
01 MARKET SHIFT

# Grocery spend grows £12.9bn by 2028, yet large stores' share falls from 47% to 36% as shoppers trade the weekly shop for top-ups

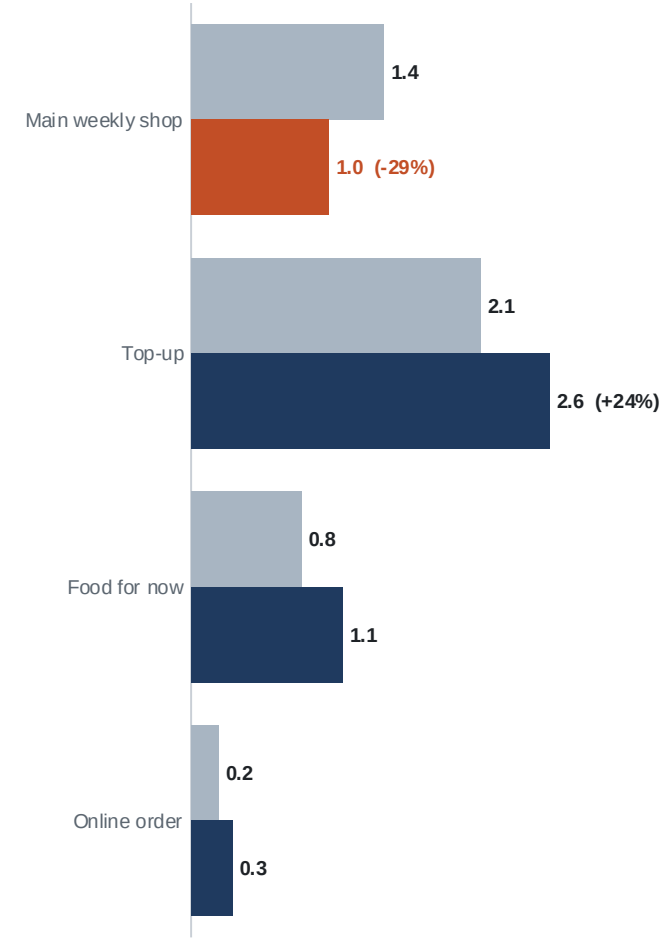
## Share of regional grocery spend by channel

% of spend; market £38.0bn in 2019, £46.4bn in 2025, £50.9bn forecast for 2028




## Shopping trips by mission

Trips per household per week, all missions 4.5 in 2019 and 5.0 in 2025; upper bar 2019 (grey-blue), lower bar 2025




### What it means for Brindle

**92%**

of Brindle's store sales come from its 154 superstores and supermarkets, against a 40% large-store share of the market

**£82**

average main-shop basket in 2025, up from £71 in 2019: fewer big shops, each larger, and more small ones between them

**59%**

of 2028 spend goes to discounters, convenience and online; Brindle's neighbourhood and express stores carry 8% of its sales

**£0.4bn**

of the £12.9bn the market adds from 2019 to 2028 reaches large stores, whose spend moves from £17.9bn to £18.3bn

Source: Brindle store P&L, capital register and loyalty-card data, 2025; regional grocery market model; team analysis. All figures illustrative.

# Superstores take 58% of Brindle's capital but return 4.9%, under half the 12% hurdle; neighbourhood stores return 19.5%

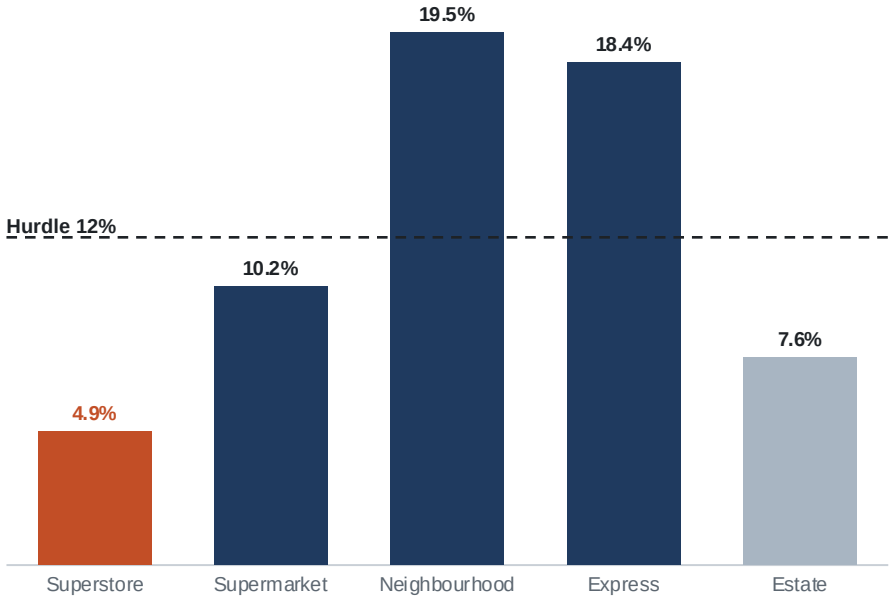
## Store P&L by format, 2025

£m unless stated; store EBITDA before central costs; cash return is store EBITDA over invested capital

| | Superstore | Supermarket | Neighbourhood | Express | Estate |
|---|---|---|---|---|---|
| **Scale** | | | | | |
| Stores | 58 | 96 | 42 | 18 | **214** |
| Average sales area (k sq ft) | 55 | 24 | 8 | 2.8 | **27.5** |
| Sales (£m) | 2,172 | 1,404 | 263 | 51 | **3,890** |
| Sales per store (£m) | 37.4 | 14.6 | 6.3 | 2.8 | **18.2** |
| Sales density (£ per sq ft per week) | 13.09 | 11.72 | 15.05 | 19.42 | **12.72** |
| Share of store sales (%) | 56 | 36 | 7 | 1 | **100** |
| Average years since last refit | 9.6 | 7.2 | 3.1 | 2.4 | **6.6** |
| **Trading and profit** | | | | | |
| Like-for-like sales growth, 2025 (%) | (1.9) | 0.8 | 5.4 | 4.2 | **(0.4)** |
| Gross margin (%) | 26.1 | 27.4 | 30.2 | 31.5 | **26.9** |
| Store EBITDA (£m) | 85.5 | 114.3 | 23.5 | 4.1 | **227.4** |
| Store EBITDA margin (%) | 3.9 | 8.1 | 8.9 | 8.1 | **5.8** |
| Share of store EBITDA (%) | 38 | 50 | 10 | 2 | **100** |
| **Capital** | | | | | |
| Invested capital (£m) | 1,750 | 1,117 | 120 | 22 | **3,009** |
| Share of invested capital (%) | **58** | 37 | 4 | 1 | **100** |
| **Cash return on capital (%)** | **4.9** | **10.2** | **19.5** | **18.4** | **7.6** |
| Stores under the 12% hurdle | 56 | 68 | 3 | 1 | **128** |

## Cash return on invested capital

%, 2025; hurdle is Brindle's 12% pre-tax cost of store capital




**What it means for Brindle**

**58%**
of invested capital sits in superstores, which earn 38% of store EBITDA at a 3.9% margin

**124 of 154**
superstores and supermarkets return under 12%; 56 of the 58 superstores do

**19.5%**
return in the 42 neighbourhood stores, which carry only 7% of sales and £120m of capital

Source: Brindle store P&L, capital register and loyalty-card data, 2025; regional grocery market model; team analysis. All figures illustrative.

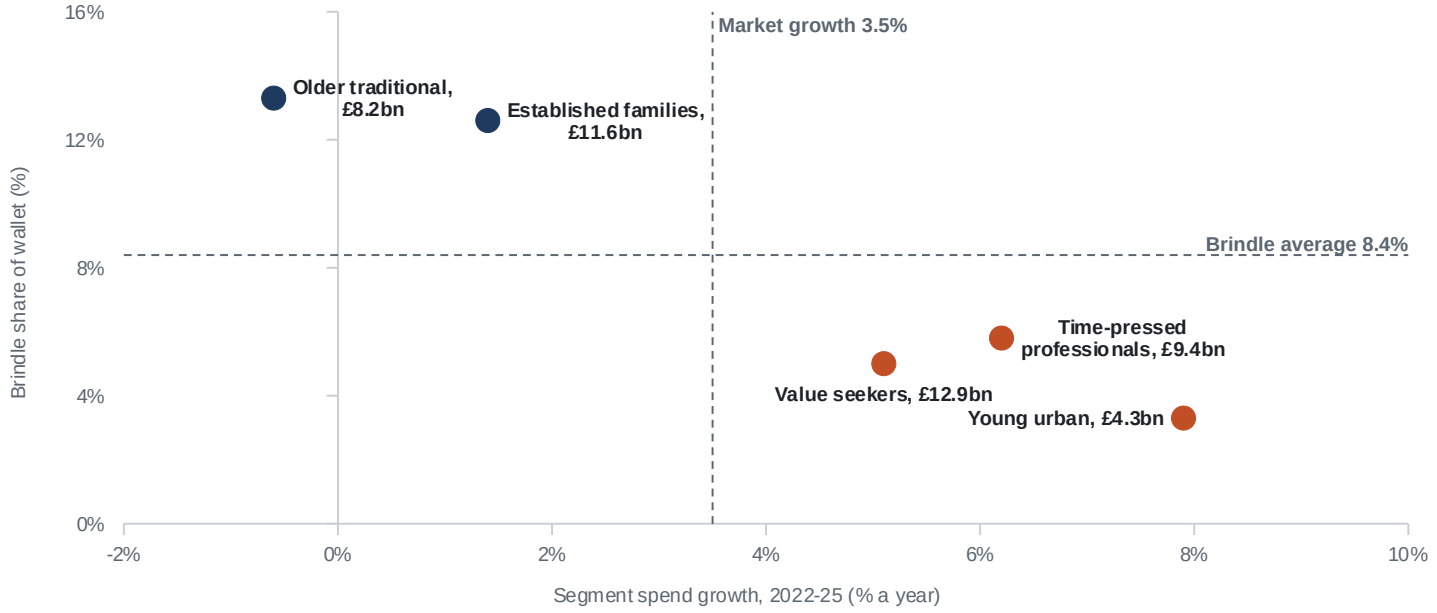
# Brindle's share of wallet is 12.9% where spend is flat and 5.0% where it grows: the three growth segments hold 57% of spend

## Customer segments in Brindle's catchments, 2025

Share of wallet is Brindle's sales over the segment's market spend; growth is nominal

| Segment | Households (k) | Market spend (£bn) | Spend growth, 2022-25 (% a year) | Brindle share of wallet (%) | Brindle sales (£m) | Main mission | Format they choose |
|---|---|---|---|---|---|---|---|
| Established families | 1,150 | 11.6 | 1.4 | 12.6 | 1,459 | Main weekly shop | Superstore |
| Time-pressed professionals | 820 | 9.4 | 6.2 | 5.8 | 548 | Top-up and food for now | Neighbourhood, express |
| Value seekers | 1,240 | 12.9 | 5.1 | 5.0 | 650 | Main shop at a discounter | Discounter |
| Older traditional | 960 | 8.2 | (0.6) | 13.3 | 1,093 | Main weekly shop | Supermarket |
| Young urban | 610 | 4.3 | 7.9 | 3.3 | 140 | Food for now and online | Express, online |
| **Market** | **4,780** | **46.4** | **3.5** | **8.4** | **3,890** | | |

## Where spend grows against where Brindle is strong




### What it means for Brindle

**The base is shrinking in real terms**

66% of Brindle's sales come from established families and older traditional shoppers, whose spend grows 1.4% and falls 0.6% a year.

**Growth is where Brindle is weakest**

The three growth segments hold 57% of spend, £26.6bn, and give Brindle 5.0% of it against 12.9% in the core.

**Each point of share is worth £266m**

One point of wallet in the growth segments is £266m of sales; they shop top-up, food-for-now and online, the missions small formats serve.

**Half the gap is £1.0bn of sales**

Lifting growth-segment share halfway to the core's 12.9% would add £1.0bn, 27% of today's store sales.

**Young urban is the extreme case**

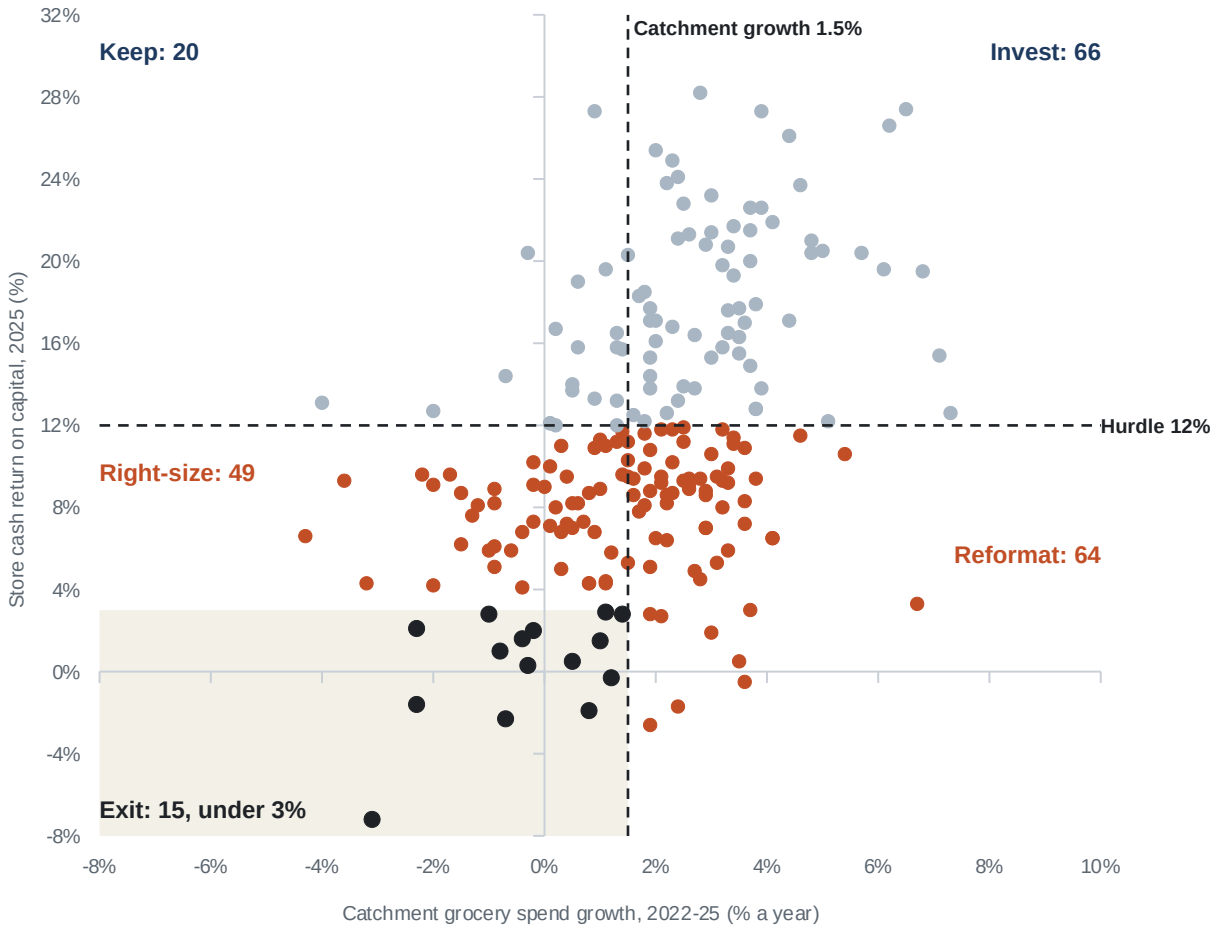
Its spend grows fastest, 7.9% a year, and Brindle's share is lowest, 3.3%: £140m of sales, from express and online.

Source: Brindle store P&L, capital register and loyalty-card data, 2025; regional grocery market model; team analysis. All figures illustrative.

# 128 of 214 stores miss the 12% hurdle: reformat 64 where catchments grow, right-size 49 and exit 15 where they do not

## 214 stores by return and catchment growth

One point per store; thresholds are the 12% hurdle and 1.5% a year catchment growth




## The five actions

2025 sales, store EBITDA and return; capex and EBITDA uplift to 2028; large means superstore or supermarket

| Action | Return, catchment | Stores | Large | Sales (£m) | EBITDA (£m) | Return (%) | Capex (£m) | 2028 uplift (£m) |
|---|---|---|---|---|---|---|---|---|
| Invest | ≥12%, growing | 66 | 16 | 500 | 50.6 | 16.7 | NA | NA |
| Keep | ≥12%, flat | 20 | 14 | 287 | 30.3 | 14.1 | NA | NA |
| Reformat | <12%, growing | 64 | 61 | 1,386 | 72.7 | 6.7 | 222.0 | 57.5 |
| Right-size | <12%, flat | 49 | 48 | 1,207 | 73.2 | 7.3 | 39.2 | 19.3 |
| Exit | <3%, flat | 15 | 15 | 510 | 0.6 | 0.1 | 36.0 | 11.8 |
| **Estate** | | **214** | **154** | **3,890** | **227.4** | **7.6** | **297.2** | **88.6** |

**Reformat where demand is growing**
64 stores, 20 of them superstores, give space back to fresh, food-to-go and click-and-collect and sublet the rest; capex £222m lifts them to a 10% return.

**Right-size where it is not**
49 stores cut space and move to the leaner labour model; £39.2m of capex adds £19.3m.

**Exit releases capital, not EBITDA**
The 15 exits earn £0.6m on £408m of capital; 30% of their sales move to nearby stores, worth £12.4m.

**Invest where return and demand meet**
66 stores clear both lines, 50 of them neighbourhood or express: the model for the 30 new stores.

**The problem is the large stores**
124 of the 128 stores under the hurdle are superstores or supermarkets; 4 are small formats.

Source: Brindle store P&L, capital register and loyalty-card data, 2025; regional grocery market model; team analysis. All figures illustrative.

# The plan lifts store EBITDA 42% to £323m by 2028 on £387m of capex; reformats carry 60% of the gain

## Store EBITDA, 2025 to 2028

£m; exits net of the 30% of their sales recaptured nearby; new stores at 70% of mature EBITDA




### What the board is asked to fund

**£387m**

capex over three years, 81% of it reformats and new stores

**4.0 years**

payback on the 2028 EBITDA uplift of £95.9m

**11.0%**

estate cash return in 2028, from 7.6% today, on 229 stores

**£408m**

of capital released by the 15 exits, which earn £0.6m today

## Phasing, money and gates

Stores started each year; capex and 2028 EBITDA uplift in £m

| Workstream | Gate to pass | 2026 | 2027 | 2028 | Stores | Capex (£m) | EBITDA uplift 2028 (£m) |
|---|---|---|---|---|---|---|---|
| **Reformat superstores and supermarkets** | Pilot 4 stores by Q2 2026; roll out only above a 10% return | 16 | 25 | 23 | 64 | 222.0 | **57.5** |
| Right-size flat-catchment stores | Landlord talks on sublets; labour model agreed with unions | 22 | 17 | 10 | 49 | 39.2 | 19.3 |
| Exit loss-making stores | Lease breaks and disposals; staff offered nearby roles | 7 | 5 | 3 | 15 | 36.0 | 11.8 |
| Open neighbourhood stores | 30 sites in the growth catchments; 70% of mature EBITDA by 2028 | 6 | 12 | 12 | 30 | 90.0 | 11.7 |
| Unchanged large stores | Price and range reset in the 30 unchanged large stores | | | | 30 | 0.0 | (4.4) |
| **Programme** | | | | | | **387.2** | **95.9** |

Source: Brindle store P&L, capital register and loyalty-card data, 2025; regional grocery market model; team analysis. All figures illustrative.